

Problem Set 1

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Problem 1

(i)

By Definition,

$$\begin{aligned} E[Y|X = x] &= \sum_y y \times p(y|X = x) \\ &= \sum_y y \times \frac{P(X = x, Y = y)}{P(X = x)} \end{aligned}$$

The joint probability distribution $P(X = x, Y = y)$ is:

$X \backslash Y$	2	3	4	5	6	7	8	9	10	11	12	$P(X = x)$
1	$\frac{1}{36}$	0	0	0	0	0	0	0	0	0	0	$\frac{1}{36}$
2	0	$\frac{2}{36}$	$\frac{1}{36}$	0	0	0	0	0	0	0	0	$\frac{3}{36}$
3	0	0	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{1}{36}$	0	0	0	0	0	0	$\frac{5}{36}$
4	0	0	0	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{1}{36}$	0	0	0	0	$\frac{7}{36}$
5	0	0	0	0	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{1}{36}$	0	0	$\frac{9}{36}$
6	0	0	0	0	0	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{2}{36}$	$\frac{1}{36}$	$\frac{11}{36}$
$P(Y = y)$	$\frac{1}{36}$	$\frac{2}{36}$	$\frac{3}{36}$	$\frac{4}{36}$	$\frac{5}{36}$	$\frac{6}{36}$	$\frac{5}{36}$	$\frac{4}{36}$	$\frac{3}{36}$	$\frac{2}{36}$	$\frac{1}{36}$	1

So,

$$E[Y|X = 1] = 2 * \frac{\frac{1}{36}}{\frac{1}{36}} = 2$$

$$E[Y|X = 2] = 3 * \frac{\frac{2}{36}}{\frac{2}{36}} + 4 * \frac{\frac{1}{36}}{\frac{2}{36}} = \frac{10}{3}$$

$$E[Y|X = 3] = 4 * \frac{\frac{2}{36}}{\frac{5}{36}} + 5 * \frac{\frac{2}{36}}{\frac{5}{36}} + 6 * \frac{\frac{1}{36}}{\frac{5}{36}} = \frac{24}{5}$$

$$E[Y|X = 4] = 5 * \frac{\frac{2}{36}}{\frac{7}{36}} + 6 * \frac{\frac{2}{36}}{\frac{7}{36}} + 7 * \frac{\frac{2}{36}}{\frac{7}{36}} + 8 * \frac{\frac{1}{36}}{\frac{7}{36}} = \frac{44}{7}$$

$$E[Y|X = 5] = 6 * \frac{\frac{2}{36}}{\frac{9}{36}} + 7 * \frac{\frac{2}{36}}{\frac{9}{36}} + 8 * \frac{\frac{2}{36}}{\frac{9}{36}} + 9 * \frac{\frac{2}{36}}{\frac{9}{36}} + 10 * \frac{\frac{1}{36}}{\frac{9}{36}} = \frac{70}{9}$$

$$E[Y|X = 6] = 7 * \frac{\frac{2}{36}}{\frac{11}{36}} + 8 * \frac{\frac{2}{36}}{\frac{11}{36}} + 9 * \frac{\frac{2}{36}}{\frac{11}{36}} + 10 * \frac{\frac{2}{36}}{\frac{11}{36}} + 11 * \frac{\frac{2}{36}}{\frac{11}{36}} + 12 * \frac{\frac{1}{36}}{\frac{11}{36}} = \frac{102}{11}$$

(ii)

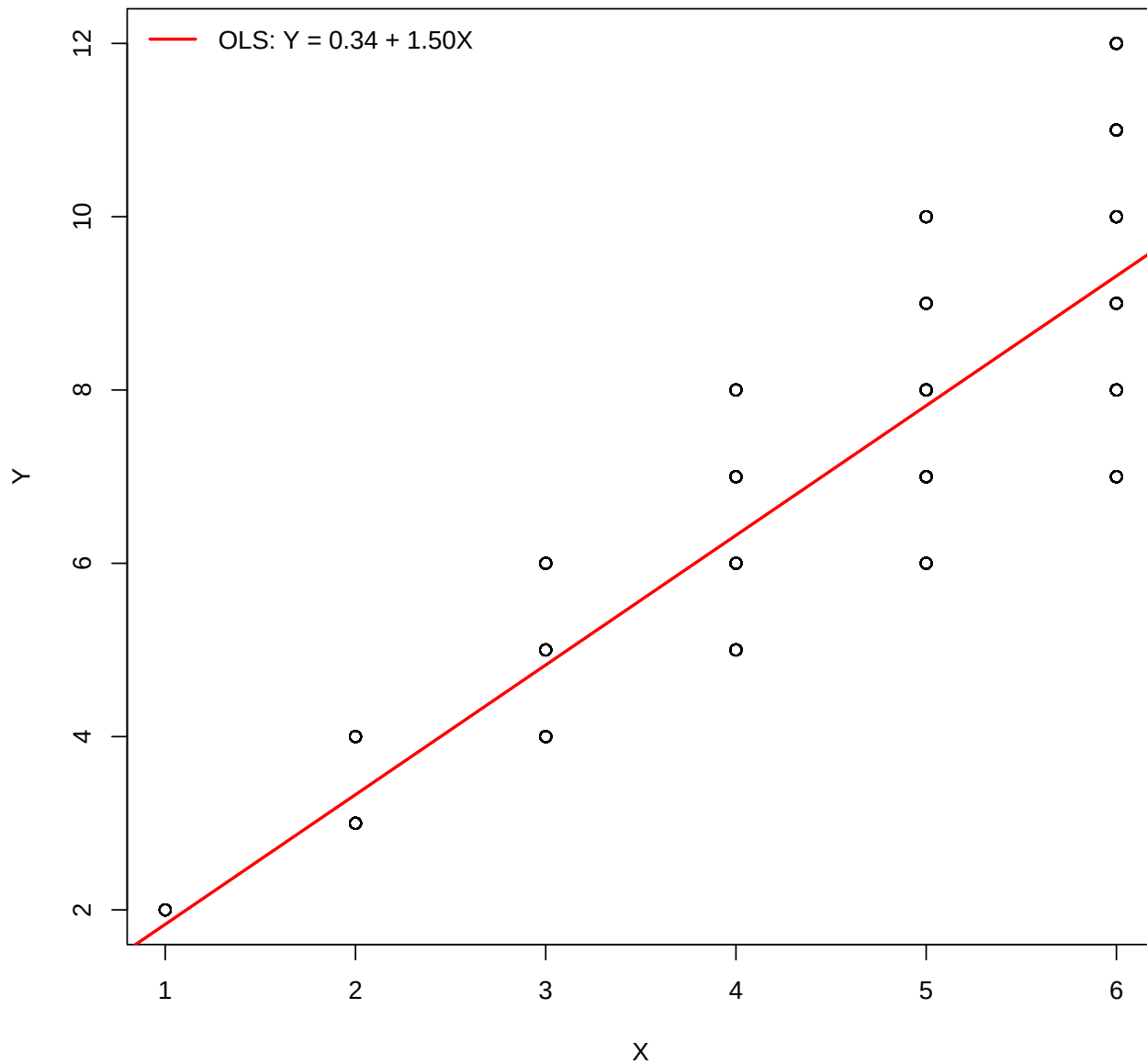
Simulate $n = 1000$ draws of (X, Y) . Plot the draws:

```
set.seed(17)
n <- 1000
D1 <- sample(1:6, n, replace = TRUE)
D2 <- sample(1:6, n, replace = TRUE)

X <- pmax(D1, D2)
Y <- D1 + D2
ols <- lm(Y ~ X)

plot(X, Y, main = "Sum and Max of Two Dice Rolls")
abline(ols, col = "red", lwd = 2)
legend("topleft",
      sprintf("OLS: Y = %.2f + %.2fX", coef(ols)[1], coef(ols)[2]),
      col = "red", lwd = 2, bty = "n")
```

Sum and Max of Two Dice Rolls



(iii)

After simulation $n = 1000$ observations and fitting the OLS regression,

$$\hat{\beta}_0 = 0.34, \quad \hat{\beta}_1 = 1.50$$

so

$$E[Y|\widehat{X} = x] = \hat{\beta}_0 + \hat{\beta}_1 x = 0.34 + 1.50x$$

(iv)

Using the estimated line, we get:

x	True	OLS
1	2.000	1.84
2	3.333	3.34
3	4.800	4.84
4	6.286	6.34
5	7.778	7.84
6	9.273	9.34

These estimates are **biased** because the true conditional expectation $E[Y|X = x]$ appears not linear on X , while the fitted OLS model assumed a linear relationship.

(v)

Simulate and estimated $B(x)$:

```
M <- 2000
N <- 1000

x_vals <- 1:6
y_vals <- 2:12
join_prob <- matrix(0, nrow = 6, ncol = 11, dimnames = list(x_vals, y_vals))
join_prob["1", "2"] <- 1
join_prob["2", c("3", "4")] <- c(2, 1)
join_prob["3", c("4", "5", "6")] <- c(2, 2, 1)
join_prob["4", c("5", "6", "7", "8")] <- c(2, 2, 2, 1)
join_prob["5", c("6", "7", "8", "9", "10")] <- c(2, 2, 2, 2, 1)
join_prob["6", c("7", "8", "9", "10", "11", "12")] <- c(2, 2, 2, 2, 2, 1)
join_prob <- join_prob / 36

# calculate true E[Y|X=x]
P_X <- rowSums(join_prob)
true_EY_given_X <- as.vector(join_prob %*% y_vals) / P_X

# simulation: M=2000 times N=1000 draws
Yhat_mat <- matrix(NA, nrow = M, ncol = length(x_vals))
for (r in 1:M) {
  D1_r <- sample(1:6, N, replace = TRUE)
  D2_r <- sample(1:6, N, replace = TRUE)
  X_r <- pmax(D1_r, D2_r)
  Y_r <- D1_r + D2_r
  fit_r <- lm(Y_r ~ X_r)
  Yhat_mat[r, ] <- coef(fit_r)[1] + coef(fit_r)[2] * x_vals
}
EYhat <- colMeans(Yhat_mat)
```

```

Bias_x <- EYhat - true_EY_given_X
names(Bias_x) <- x_vals
bias_table <- data.frame(
  x = x_vals,
  true_EY = true_EY_given_X,
  E_Yhat = EYhat,
  Bias = Bias_x
)
bias_table

```

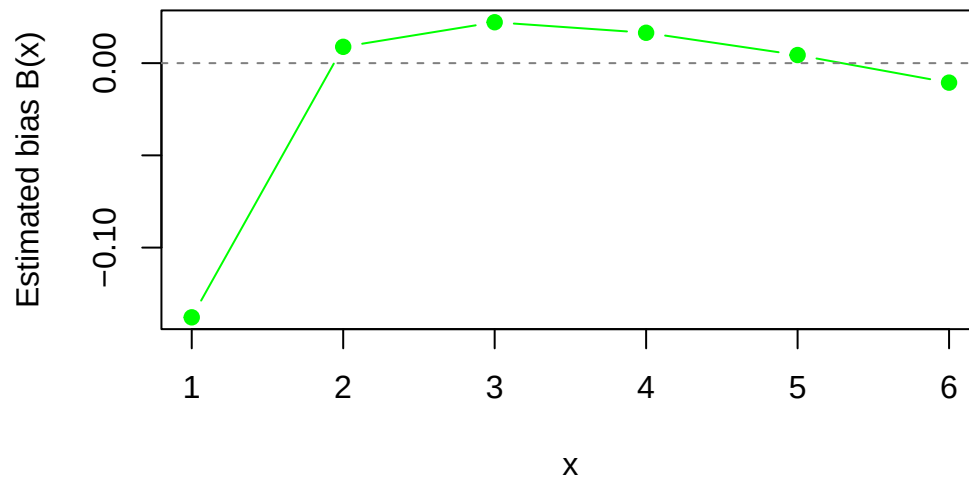
	x	true_EY	E_Yhat	Bias
1	1	2.000000	1.862189	-0.137811003
2	2	3.333333	3.342184	0.008850194
3	3	4.800000	4.822178	0.022178058
4	4	6.285714	6.302173	0.016458303
5	5	7.777778	7.782167	0.004389341
6	6	9.272727	9.262162	-0.010565623

```

plot(x_vals, Bias_x, type = "b", pch = 19, col = "green",
     xlab = "x", ylab = "Estimated bias B(x)",
     main = "Estimated bias of the linear predictor Yhat(x)",
     abline(h = 0, lty = 2, col = "gray50"))

```

Estimated bias of the linear predictor Yhat(x)



Problem 2

Simplify the conditional density of $Y|X = x$:

$$f(y|X = x) = \frac{f(x, y)}{f_X(x)}$$

Let

$$z_x = \frac{x - \mu_x}{\sigma_x}, z_y = \frac{y - \mu_y}{\sigma_y}$$

Then

$$\begin{aligned} f(x, y) &= \frac{1}{2\pi\sigma_x\sigma_y\sqrt{1-\rho^2}} \exp \left\{ -\frac{1}{1-\rho^2} [z_x^2 - 2\rho z_x z_y + z_y^2] \right\} \\ &= \frac{1}{2\pi\sigma_x\sigma_y\sqrt{1-\rho^2}} \exp \left\{ -\frac{1}{1-\rho^2} [z_y^2 - 2\rho z_x z_y + \rho^2 z_x^2 - \rho^2 z_y^2 + z_x^2] \right\} \\ &= \frac{1}{2\pi\sigma_x\sigma_y\sqrt{1-\rho^2}} \exp \left\{ -\frac{1}{1-\rho^2} (z_y - \rho z_x)^2 - \frac{1}{2} z_x^2 \right\} \\ &= \frac{1}{\sqrt{2\pi\sigma_y^2(1-\rho^2)}} \exp \left\{ -\frac{1}{2} \left(\frac{z_y - \rho z_x}{\sqrt{1-\rho^2}} \right)^2 \right\} \frac{1}{\sqrt{2\pi\sigma_x^2}} \exp \left\{ -\frac{1}{2} z_x^2 \right\} \\ &= h(x, y)g(x) \end{aligned}$$

Which $h(x, y)$ is also a valid normal density function:

$$\begin{aligned} h(x, y) &= \frac{1}{\sqrt{2\pi\sigma_y^2(1-\rho^2)}} \exp \left\{ -\frac{1}{2} \left(\frac{z_y - \rho z_x}{\sqrt{1-\rho^2}} \right)^2 \right\} \\ &= \frac{1}{\sqrt{2\pi\sigma_y^2(1-\rho^2)}} \exp \left\{ -\frac{1}{2} \left(\frac{\frac{y-\mu_y}{\sigma_y} - \rho \frac{x-\mu_x}{\sigma_x}}{\sqrt{1-\rho^2}} \right)^2 \right\} \\ &= \frac{1}{\sqrt{2\pi\sigma_y^2(1-\rho^2)}} \exp \left\{ -\frac{1}{2} \left(\frac{y - \mu_y - \rho\sigma_y \frac{x-\mu_x}{\sigma_x}}{\sigma_y \sqrt{1-\rho^2}} \right)^2 \right\} \end{aligned}$$

The marginal distribution of X:

$$\begin{aligned} f_X(x) &= \int_{-\infty}^{\infty} f(x, y) dy \\ &= \int_{-\infty}^{\infty} \frac{1}{\sqrt{2\pi\sigma_x^2}} \exp \left\{ -\frac{1}{2} z_x^2 \right\} h(x, y) dy \\ &= \frac{1}{\sqrt{2\pi\sigma_x^2}} \exp \left\{ -\frac{1}{2} z_x^2 \right\} \int_{-\infty}^{\infty} h(x, y) dy \\ &= \frac{1}{\sqrt{2\pi\sigma_x^2}} \exp \left\{ -\frac{1}{2} z_x^2 \right\} \end{aligned}$$

Therefore, $f_X(x) = g(x)$

Now we have,

$$\begin{aligned} f(y|X=x) &= \frac{f(x,y)}{f_X(x)} \\ &= \frac{h(x,y)g(x)}{g(x)} \\ &= h(x,y) \\ &= \frac{1}{\sqrt{2\pi\sigma_y^2(1-\rho^2)}} \exp \left\{ -\frac{1}{2} \left(\frac{y - \mu_y - \rho\sigma_y \frac{x-\mu_x}{\sigma_x}}{\sigma_y \sqrt{1-\rho^2}} \right)^2 \right\} \end{aligned}$$

Hence,

$$Y|X \sim N\left(\mu_y + \rho \frac{\sigma_y}{\sigma_x}(x - \mu_x), \sigma_y^2(1 - \rho^2)\right)$$

Problem 3

(i)

Fit OLS R Code:

```
model <- lm(y ~ x)
model
```

Call:

```
lm(formula = y ~ x)
```

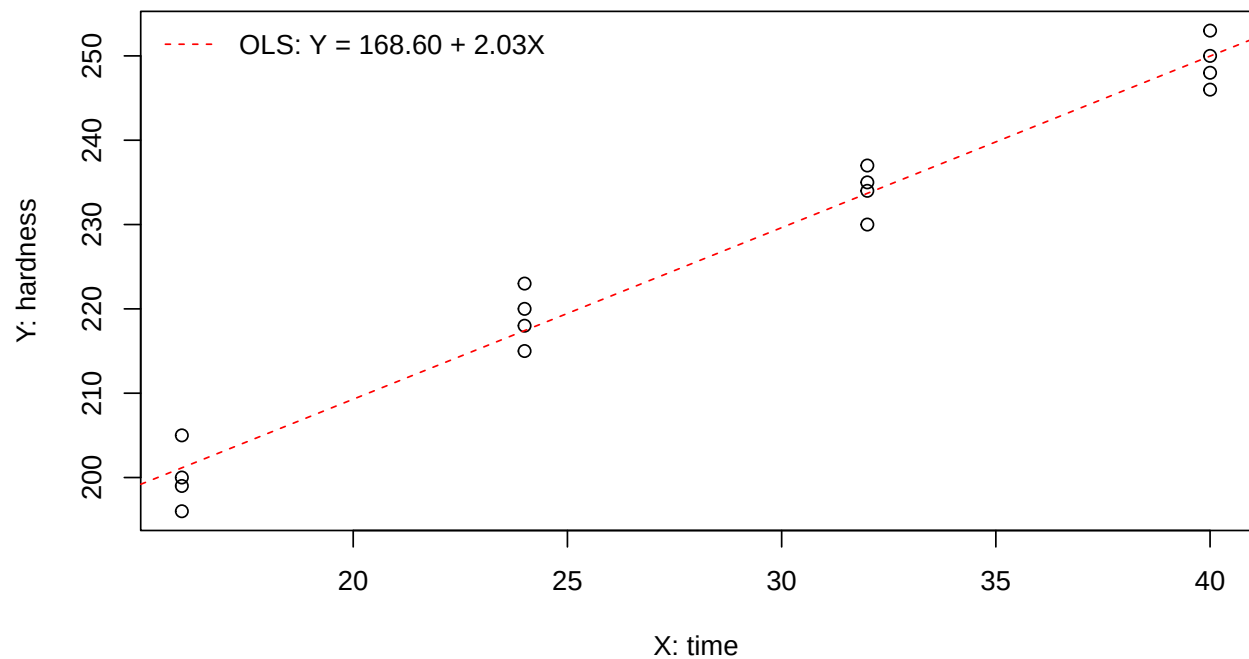
Coefficients:

(Intercept)	x
168.600	2.034

(ii)

We plot hardness against time for the 16 observations and overlay the fitted OLS regression line.

```
plot(x, y, xlab = "X: time", ylab = "Y: hardness")
abline(model, col = "red", lty = 2)
legend("topleft",
       sprintf("OLS: Y = %.2f + %.2fX", coef(model)[1], coef(model)[2]),
       col = "red", lty = 2, bty = "n")
```



(iii)

```
y_hat <- predict(model)
```

(iv)

Problem 4

(i)

The log-likelihood for T i.i.d. observations is the following. We can prove the result.

(ii)

Problem 5

(i)

The log-likelihood for T i.i.d. observations is the following. We can prove the result.

(ii)

Problem 6

(i)

The log-likelihood for T i.i.d. observations is the following. We can prove the result.

(ii)

(iii)

```
library(ggplot2)

ols_data <- data.frame()
ggplot(airquality, aes(Temp, Ozone)) +
  geom_point() +
  geom_smooth(method = "loess")
```

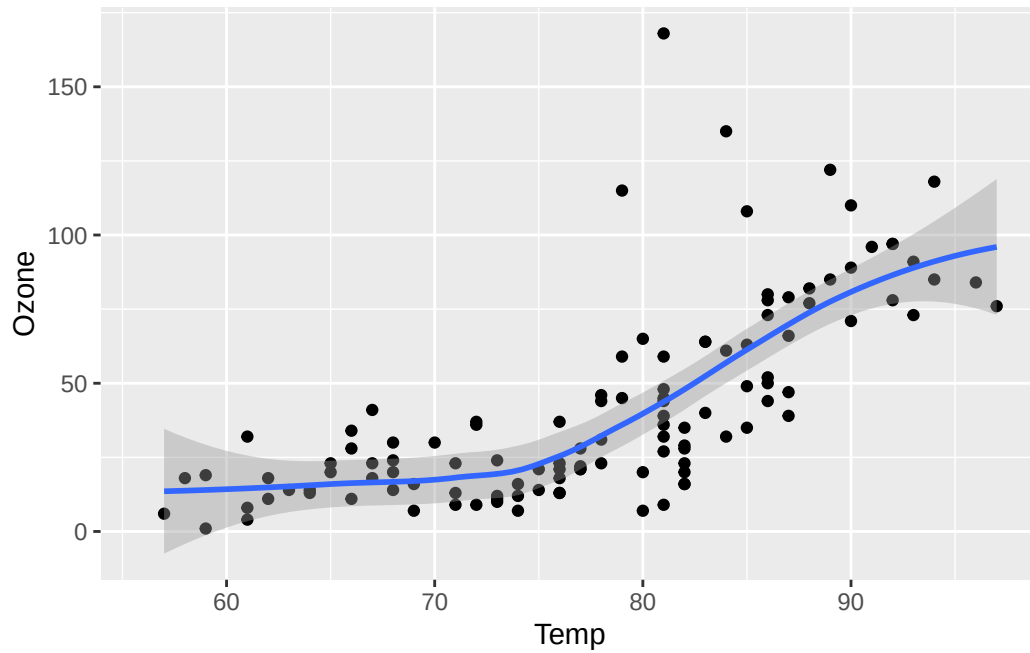


Figure 1: Temperature and ozone level.